

Comprehensive Strategic Playbook for Customer Marketing Excellence at Dabur India Limited

Strategic Foundations and the Dabur Marketing Philosophy

The onboarding of a new joiner into the customer marketing team at Dabur India Limited necessitates a profound understanding of a legacy that spans over 141 years. Dabur is not merely an FMCG company; it is the world's largest Ayurvedic and natural healthcare organization, a position built upon the integration of ancient wisdom with modern scientific rigor. For a customer marketing professional, this heritage serves as the primary differentiator in a hyper-competitive market. The core philosophy centers on "Consumer Focus," ensuring a superior understanding of consumer needs to develop products that fulfill them better than any competitor. This consumer-centricity must be translated by the customer marketing team into "Customer-Centricity," where the "customer" refers to the vast network of over 8.4 million retail outlets and 1.32 lakh villages that form the backbone of Dabur's distribution.

The "Future-Ready Dabur" strategy is anchored by specific enabling behaviors that every team member must embody. These include being "Faster & Agile" in responding to market results, maintaining a "Future Focus" by thinking ahead of current trends, and becoming "Tech & Data Driven" by leveraging digital tools and data lakes to enhance decision-making. The customer marketing function operates at the intersection of these behaviors, turning strategic intent into retail impact. In FY 2024-25, the company transitioned to a "Double Materiality" approach, recognizing that sustainability issues are not peripheral but central to financial performance and social impact. This shift implies that trade marketing initiatives are no longer just about volume; they are about sustainable growth, responsible sourcing, and community empowerment.

Strategic Component	Definition and Objective	Relevance to Customer Marketing
People Development	Adding value through result-driven training.	Implementing programs like ASTRA to train rural retailers.
Innovation	Continuous improvement in products and processes.	Leveraging AI for real-time promotion optimization.
Passion for Winning	Commitment to being the best in key areas.	Driving market share gains in 90-95% of categories.
Execution Excellence	Decisive action and spring into action.	Flawless planogram compliance and POSM deployment.

Integrity

Business success with honesty
and transparency.

Ensuring ethical trade practices and
transparent schemes.

Organizational Structure and Category Dynamics

To achieve superlative performance on regional KPIs, a new joiner must navigate the Strategic Business Unit (SBU) structure. Dabur's India FMCG business is divided into Healthcare (HC), Home & Personal Care (HPC), and Food & Beverages (F&B). Each SBU has a distinct revenue contribution and market role. The Consumer Care Business (HC and HPC combined) accounts for approximately 55% of consolidated sales, while F&B accounts for 15.5%. International business makes up the remaining 26.5%. Within the India FMCG segment, categories such as Oral Care (19%) and Hair Care (18%) are high-penetration "Stars," requiring constant visibility and competitive trade schemes to ward off rivals. The customer marketing head must understand the BCG (Boston Consulting Group) matrix positioning of Dabur's "Power Brands." Healthcare icons like Dabur Chyawanprash, Honey, and Pudín Hara are "Cash Cows" or "Stars" depending on the season, contributing significantly to the bottom line. Brands like Réal fruit juice and Gulabari are market leaders but face intense competition, necessitating strategic "share gain" tactics. Meanwhile, Home Care and Personal Care segments often act as "Question Marks," where the team must drive aggressive market development to challenge established incumbents.

Category	Revenue Split (India FMCG)	Key Brands	Trade Marketing Focus
Oral Care	19%	Dabur Red, Meswak	Dental station activations and sachet penetration.
Hair Care	18%	Amla, Vatika	Premiumization and serum category expansion.
Beverages	16%	Réal, Réal Activ	Cold chain availability and bulk purchase incentives.
Health Supplements	15%	Chyawanprash, Honey	Seasonal displays and immunity awareness drives.
OTC & Ethicals	9%	Pudín Hara, Honitus	Chemist-level engagement and detailing.
Home Care	7%	Odonil, Sanifresh	Modern Trade visibility and fragrance sampling.
Digestives	6%	Hajmola	High-velocity wholesale "push" and QPS.

Foods	6%	Homemade, Badshah	Regional spice mix tailoring and sampling.
Skin Care	4%	Gulabari, Fem	Modern Trade beauty advisor programs.

Trade Promotions and Activation: Wholesale and Retail

The first critical KPI for the customer marketing team is the design and execution of trade promotions. Unlike consumer marketing, which creates "pull" through mass media and celebrity endorsements (such as Akshay Kumar for Honey or Ajay Devgn for Hajmola), trade marketing creates "push" by making the product appealing to distributors, wholesalers, and retailers. At Dabur, this is a multi-layered process that must balance volume goals with channel health.

Wholesale Channel Strategies

In the wholesale segment, promotions are primarily volume-driven. Wholesalers act as intermediaries who supply to smaller retailers, particularly in rural and semi-urban areas.

- **Quantity Purchase Schemes (QPS):** These are the bedrock of wholesale trade. By offering "Buy 10, Get 1 Free" or similar tiered discounts, Dabur incentivizes wholesalers to stock up. This reduces the company's inventory holding costs and ensures product availability in the secondary market.
- **Cash Discounts (CD):** To maintain healthy cash flows, Dabur offers discounts (e.g., 1.5% on invoice) for payments made via Demand Draft or within a specified credit window. Managing these discounts requires a delicate balance; while they improve liquidity, over-reliance can lead to "stock dumping," where wholesalers liquidate stock at low margins to recover cash, thereby destabilizing the market price and hurting regular stockists.
- **Wholesale Loyalty Programs:** Beyond transactional discounts, building long-term relationships with key wholesalers is essential for maintaining a consistent "Share of Voice" in the market.

Retail Channel and Modern Trade Activations

In the retail channel, the focus shifts to "sell-out" and visibility. The customer marketing head must ensure that the brand's presence on the shelf translates into consumer purchase.

- **General Trade (GT) / Kirana Stores:** With over 8.4 million outlets, GT is the most significant channel. Here, promotions often take the form of display contests and "window hiring." Retailers are paid a monthly fee or given stock incentives to display Dabur products prominently.
- **Modern Trade (MT) / Supermarkets:** MT requires a more sophisticated approach. Margins in MT are now comparable to or slightly better than GT, making it a high-priority channel for premium products. Customer marketing managers must

manage "listing fees," "end-cap" displays, and "island" units. Activities are coordinated through an annual calendar that aligns with national brand campaigns and seasonal peaks.

- **E-commerce and Quick Commerce:** This is the fastest-growing channel, with innovation rates reaching 10-15%. Strategies here include "Bundle Offers," "Subscribe and Save" models, and search-term optimizations on platforms like Amazon or Blinkit.

Business Planning: Secondary Sales and Demand Forecasting

Superlative performance in business planning requires a transition from "Primary" thinking (billing to the distributor) to "Secondary" thinking (billing from the distributor to the retailer). Primary sales without secondary sales lead to "channel stuffing," which eventually results in stock expiries and sales returns.

The SAP APO and SNC Integration

Dabur utilizes a robust technological backbone for business planning, specifically the SAP Advanced Planning and Optimization (APO) component and the Supply Network Collaboration (SNC) application.

1. **Rolling Sales Forecast (RSF):** A three-month rolling forecast is generated based on historical data, market intelligence, and upcoming trade marketing initiatives.
2. **Rolling Production Plan (RPP):** The RSF is used to create a one-month stable RPP, ensuring that manufacturing plants (at 14 locations in India) produce exactly what the market demands.
3. **Secondary Sales Data (SSD):** By capturing real-time pipeline information from distributors, Dabur can adjust its "stocking norms" and service levels. This has led to a 40% reduction in lost sales and a 53% reduction in forecast errors.

The Quarterly Planning Cycle

The customer marketing head is responsible for developing quarterly plans that align with these technical systems.

- **Phase 1: Baseline Analysis.** Use SAP data to determine organic growth rates and identify seasonal trends (e.g., Chyawanprash sales peak in Q3 due to the winter season).
- **Phase 2: Promotional Input.** Layering the planned trade schemes onto the baseline. This requires close collaboration with the brand teams to estimate the "promotional lift".
- **Phase 3: Trade Input.** Gathering feedback from Zonal and Area managers on local market conditions (e.g., competitors' activities or local festivals).
- **Phase 4: Month-End Management.** Historically, Dabur's sales crest in the last 4-5 days of each month. The planning process aims to spread these sales more evenly to optimize logistics and server capacity.

Key Performance Metric	Pre-SAP Implementation	Post-SAP Implementation	Impact
Lost Sales	High / Unmeasured	Reduced by 40%	Improved service levels.
Forecast Errors (Mean)	High	Reduced by 53%	Optimized inventory.
On-Time Deliveries	Industry Average	Increased by 7%	Retailer satisfaction.
RPP Adherence	Low	Increased by 73%	Production efficiency.

Stakeholder Management: The Sales and Marketing Synergy

A customer marketing professional at Dabur must be an expert in stakeholder management, operating as the "glue" between Corporate Marketing and the Zonal Sales teams. The hierarchy consists of Zonal Sales Managers (ZSM), Regional Heads (RH), and Area Sales Managers (ASM).

Navigating the Hierarchy

- **Zonal Sales Managers (ZSM):** They focus on macro-KPIs for one of the four zones (North, South, East, West). The customer marketing team must provide ZSMs with zone-specific promotional budgets and share-gain strategies.
- **Regional Head (RH) / Regional Sales Manager:** They are responsible for state-level performance. They require highly localized micro-marketing initiatives, such as tailoring "Dant Snan" activations for the Kumbh Mela or Navratri.
- **Area Sales Managers (ASM):** They manage the day-to-day operations of sales representatives and stockists. They are the primary source of "Ground Truth," providing feedback on whether a promotion is actually being executed by the retailer or blocked by the wholesaler.

Cross-Functional Collaboration

Beyond the sales hierarchy, the customer marketing manager must coordinate with:

- **Brand Teams:** To ensure trade activities reflect the brand's premium or value positioning.
- **Supply Chain & Demand Planning:** To ensure that a "Buy 1 Get 1" offer doesn't lead to a stock-out situation.
- **Finance:** To manage the "Trade Investment" budget and ensure that all spends are documented and audit-ready.

- **KAM (Key Account Managers):** Specifically for Modern Trade, to drive "Share of Shelf" and planogram compliance.

Performance Analysis: Measuring ROI and Effectiveness

The customer marketing head is ultimately accountable for the ROI of every trade rupee spent. This requires a transition from "Spend-based" marketing to "Performance-based" marketing.

The ROI Calculation Framework

Dabur uses a sophisticated ROI model to evaluate promotional success.

- **Simple Marketing ROI:**
 - $(SalesGrowth - MarketingCost) / MarketingCost \times 100$
- .
- **Advanced Trade Spend ROI:** This formula is more accurate as it strips out organic growth and factors in margins.
 - $(IncrementalGrossMargin - TradeSpend) / TradeSpend$
- .
- **Promotional Lift:** The difference between actual sales during the promotion period and the historical "Baseline" sales.

Data-Driven Assessments

New joiners must become proficient in analyzing these metrics across different touchpoints.

1. **Post-Promotion Evaluation (PPE):** After a scheme ends, the team must analyze if the volume spike was worth the discount provided. A successful promotion should ideally achieve an ROI of 5:1 (sales growth five times the cost).
2. **RGM (Revenue Growth Management):** This involves using a "Pack Price Architecture" (PPA) study to capture demand. For example, Dabur introduced ₹10 Low Unit Packs (LUPs) to drive penetration in rural areas, while simultaneously launching premium formats for urban consumers.
3. **Customer Lifetime Value (CLV):** For premium categories like specialized skincare or ethicals, the focus shifts from short-term ROI to long-term value, measuring the cost of acquiring a customer against their total repeat purchase potential.

Investment Level	Channel / Strategy	Target Segment	Metric of Success
High	Modern Trade / E-comm	Urban Premium	ROI, Share of Shelf.
Medium	General Trade / Kirana	Mass Market	Sell-out, Planogram Compliance.

High	Rural / Yoddha Channel	Deep Rural	Penetration (HH Count), LUP Volume.
Low	Wholesale / QPS	Tier 2/3 Towns	Volume, Stock Rotation.

Budget and Investment Control: Efficiency and Discipline

Managing trade investments at Dabur is governed by the principles of "Project Samriddhi," a cost-optimization initiative designed to squeeze non-essential spending and redirect funds toward growth drivers.

Budget Management Principles

- **Compliance to Marketing Budget:** The customer marketing head must ensure that all planned activities stay within the quarterly and annual allocations. Any variance must be backed by a clear business case for incremental growth.
- **Zero-Based Budgeting (ZBB):** Every activity is evaluated from scratch each year, rather than just adjusting the previous year's budget. This ensures that ineffective old schemes are retired.
- **Inventory Rationalization:** To support distributor partners and ensure freshness of stock, Dabur proactively rationalizes inventory. While this may cause a temporary dip in reported revenue (as seen in the 2024-25 report), it improves long-term profitability by reducing expiry-related losses.

Risk and Governance

- **Contractual Transparency:** The audit of standalone financial statements emphasizes the complexity of various discounts, incentives, and scheme offers. The customer marketing team must maintain error-free transactions and clear approvals for all credit notes to avoid revenue misstatements.
- **Anti-Corruption & Integrity:** All trade partners and suppliers must adhere to the Dabur Sustainable Sourcing Code of Conduct, ensuring no bribery or anti-competitive conduct exists in the trade channel.

Market Development: Micro-Marketing and Rural Penetration

Market development at Dabur is defined by its "Deep Rural Penetration Strategy" and its ability to tailor marketing to local dynamics. Rural markets contribute nearly 47% of domestic sales, and rural consumption is currently growing faster than urban consumption by 300 basis points.

Rural Initiatives: Yoddha and Samriddhi

- **The Yoddha Channel:** This initiative focuses on expanding the retail footprint by deploying over 25,349 "Yoddhas" (warriors) to cover 1.32 lakh villages. These are localized sales representatives who ensure that even the most remote Kirana stores stock Dabur's "Power Brands".
- **ASTRA (Advanced Sales Training for Retail Ascendancy):** This program provides marketing education to rural shopkeepers through role plays in five languages (Bengali, Tamil, Telugu, Malayalam, and Kannada). By professionalizing rural retail, Dabur ensures better sell-out of its 250+ Ayurvedic products.
- **Sachet Marketing:** For price-sensitive rural markets, Dabur masterfully uses sachet marketing for products like Dabur Red Toothpaste and Amla Hair Oil. This "Low Unit Pack" (LUP) strategy makes premium Ayurveda accessible to the daily-wage segment.

Micro-Marketing at Cultural Confluences

Dabur excels at "Cultural Habit" marketing, where product usage is integrated into spiritual and cultural rituals.

- **The Kumbh Mela 2025 'Dant Snan' Campaign:** Dabur Red Paste positioned oral care as a "cleansing ritual" to be performed before the sacred dip in the Ganges. By setting up "Dant Snan" booths and using mythological storytelling ("Dantasur vs. Dantlal"), the brand transformed a mundane habit into a spiritual necessity for millions of pilgrims.
- **Regional Pairings:** For the F&B segment, Dabur introduces beverage pairings with local delicacies during regional festivals like Navratri or Durga Puja, driving impulse purchases through "local flavor".
- **Health Awareness Camps:** Dabur organizes camps in schools and community centers, partnering with local influencers like doctors and teachers to educate consumers on the benefits of immunity-boosting products like Chyawanprash.

Merchandising Operations: Flawless In-Store Execution

The final frontier of customer marketing is the shelf. Merchandising operations at Dabur involve overseeing third-party agencies (like **Channelplay**) to ensure that every visual promise made in an advertisement is fulfilled in the store.

The Role of Merchandising Agencies

Third-party agencies act as a creative and execution ally, covering over 60,000 stores across 3,500 towns.

1. **PoSM Deployment:** Ensuring point-of-sale materials (banners, floor stands, shelf-talkers) are placed correctly and maintained.
2. **New Store Roll-out:** Flawless setup of 2D/3D visualizations and store designs from day one.
3. **Retail Audits:** Providing real-time views of retail stores using a full channel-tech stack, including geotagged photos to verify execution.

Key Merchandising KPIs

- **Share of Shelf (SoS):** The percentage of category shelf space occupied by Dabur. Improving SoS is a primary goal for hair care and oral care.
- **Planogram Compliance:** Measuring how closely stores follow the brand's SKU placement instructions. This ensures that high-margin products are at "eye-level" and follow a specific logical sequence.
- **Stock-on-Shelf:** Ensuring that products are not just in the store's backroom but are actually available for the consumer to pick up.

Planogram Compliance % =

Total SKUs planned

Compliant SKUs per store

× 100

Merchandising KPI	Definition	Target Excellence
Compliance Level	Adherence to planogram instructions.	>95% PJP (Permanent Journey Plan) Coverage.
Share of Shelf	Proportion of space vs. total category.	Outperforming market share by 1.5x.
PoSM Count	Number of marketing materials deployed.	4.50 Lakh+ units per month.
Retailer Engagement	Interaction frequency with shopkeepers.	Average 20 engagements per day per store.

Conclusion and Recommendations for New Joiners

To achieve superlative performance in the Dabur customer marketing team, a new joiner must integrate these diverse elements into a cohesive daily routine. Success is not just about managing budgets; it is about driving "Execution Excellence" on the ground.

1. **Prioritize Secondary Sales:** Always look at the SSD (Secondary Sales Data). Billing to a distributor is easy; billing from a distributor to a retailer requires a strong promotional strategy and consistent merchandising.
2. **Be Data-Driven but Culturally Grounded:** Use SAP and ROI formulas for your planning, but never forget the power of "Dant Snan" or localized sachet marketing.

3. **Manage Your Stakeholders:** Your ZSM and ASM are your best allies. Provide them with the tools (budgets, schemes, PoSM) and they will deliver the volume.
4. **Control Your Investment:** Treat every rupee of trade spend as if it were your own. Use PPE (Post-Promotion Evaluation) to identify underperforming schemes and pivot toward high-ROI activities.
5. **Focus on the Last Mile:** A flawless planogram at a Modern Trade outlet in Mumbai is as important as a well-stocked Yoddha representative in a remote village in Tamil Nadu.

By mastering these skills, the new joiner will not only fulfill their individual KPIs but also contribute to Dabur's mission of bringing health and well-being to every household in India and beyond.